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MSc Thesis Defense

Cash Got Your Tongue? CEO Language-Uncertainty Around Undisclosed Cash Acquisitions

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Why Uncertainty Appears

01

Private acquisition

The firm holds potentially material deal information that investors do not yet have.

02

Routine Q&A call

The CEO still faces analysts in the less-scripted part of the earnings call.

03

No clean answer

The firm may stay silent, but once it speaks it cannot mislead.

04

Language trace

Answers may become more hedged, qualified, and uncertain before announcement.

CORE PREDICTION

CEO Q&A uncertainty should rise while the acquisition is still private.

Framework note: the prediction concerns the language pattern, not whether silence is legally constrained or strategically chosen.

Thesis framework: Verrecchia (1983); Dye (1985); Basic (1988); Rule 10b-5; Matsumoto et al. (2011); Hollander et al. (2010)

Timing and Payment Method

The language signal should follow the information event, while the cash position follows the transaction event.

PAYMENT METHOD

Cash and stock deals share the disclosure bind, but stock deals add an equity-currency incentive.

Cash

No equity currency to protect.

Relatively cleaner window onto the disclosure state.

Stock

Equity is the acquisition currency.

Prior work documents pre-deal management.

Framework sources: Harford (1999); Shleifer and Vishny (2003); Louis (2004); Thewissen et al. (2024)

Research Questions and Empirical Roadmap

Each question becomes one plain descriptive equation.

RQ1 APPEARANCE

Does CEO Q&A uncertainty rise before a cash acquisition is announced?

Uncertainty = **pre-announcement quarter**

Read: within-firm shift in the anticipation quarter, against the firm's own ordinary quarters.

RQ2 TIMING

Does uncertainty resolve at announcement while cash remains until completion?

Uncertainty and cash = **PRE1** + **GAP** + **POST**

Read: uncertainty should drop from PRE1 to GAP; cash should drop only after completion.

RQ3 PAYMENT METHOD

Is the pre-announcement run-up stronger for cash acquirers than stock acquirers?

Uncertainty = **cash pre-announcement** + **stock pre-announcement**

Read: test the cash-minus-stock difference directly, not just whether one side is significant.

COMMON DESIGN

Firm controls; firm and year-quarter fixed effects; firm-clustered errors.

All three empirical tests are descriptive within-firm comparisons; they do not identify causal effects.

INTRO

Literature Review and Nearest Work

Prior work reads deal tone, strategy vocabulary, and prices. The missing cell is uncertainty in CEO Q&A before unannounced cash acquisitions.

WHAT THE CLOSEST WORK READS

TONE	Thewissen et al. 2024	Scripted press-release tone before stock-for-stock acquisitions.
VOCABULARY	Ragozzino & Reuer 2024	Corporate-strategy vocabulary on earnings calls around deal activity.
PRICES	Keown & Pinkerton 1981	Abnormal stock-price run-up before public merger announcements.

THIS THESIS

Uncertainty in unscripted CEO Q&A

Uncertainty, not tone.

Q&A answers, not press releases.

Language, not prices.

POSITIONING CLAIM

No prior work occupies this exact cell.

Thesis source: Introduction and Conceptual Framework. Nearest cited works: Thewissen et al. (2024); Ragozzino and Reuer (2024); Keown and Pinkerton (1981).

MESSAGE

Data and Sample

A broad call panel narrows to the residual language measure, then to the first cash-deal test.

SAMPLE PATH

BASE CALL PANEL

88,205 calls
1,884 firms

U.S. public nonfinancial and nonutility firms, 2002 to 2018.

CEO identity + five calls →

LANGUAGE MEASURE

44,900 calls

Calls with an estimated UncResCEO measure.

Acquisition event + design filters →

FIRST CASH-DEAL TEST

27,622 firm-quarters
1,248 firms

Focal uncertainty sample for the pre-announcement run-up.

DATA LINK

Capital IQ transcripts + Execucomp CEO identity + SDC deals/payment + Compustat, CRSP, and I/B/E/S controls.

DEAL SCREEN

SDC U.S. public-acquirer deals with known payment split and value of at least **$1 million**. Cash arm: at least 50% cash. Stock comparison: at least 50% stock.

Sample note: repeated CEO calls and Execucomp coverage tilt the sample toward larger, better-covered firms.

Thesis source: Data, Sample, and Variable Construction; Summary Statistics; Main Analysis 1 table notes.

MESSAGE

Measuring residual CEO uncertainty

Raw CEO-answer uncertainty is residualized to isolate call-specific uncertainty.

COUNT

Raw answer uncertainty

Uncertainty words in CEO answers divided by total CEO answer words.

−

REMOVE

Predictable components

CEO STYLE
CEO fixed effects

ANALYST LANGUAGE
question uncertainty

FIRM PERFORMANCE
earnings surprise; EPS growth

TIME
year effects

PREPARED LANGUAGE
CEO uncertainty in remarks

CALL TONE
negative-call language

MARKET CONDITIONS
firm and market returns

=

KEEP

UncResCEO

The residual answer uncertainty left unexplained on that CEO's specific call.

RAW INPUT

71,748	0.7806	0.3925
ANSWER OBSERVATIONS	MEAN	SD

DECOMPOSITION SAMPLE

44,900	2,197	0.369
OBSERVATIONS	DISTINCT CEOS	R^2

RESIDUAL KEPT

44,900	−0.0000	0.3010
OBSERVATIONS	MEAN	SD

Measurement note: UncResCEO is generated in a first-stage decomposition; the thesis treats two-step estimation uncertainty as a limitation.

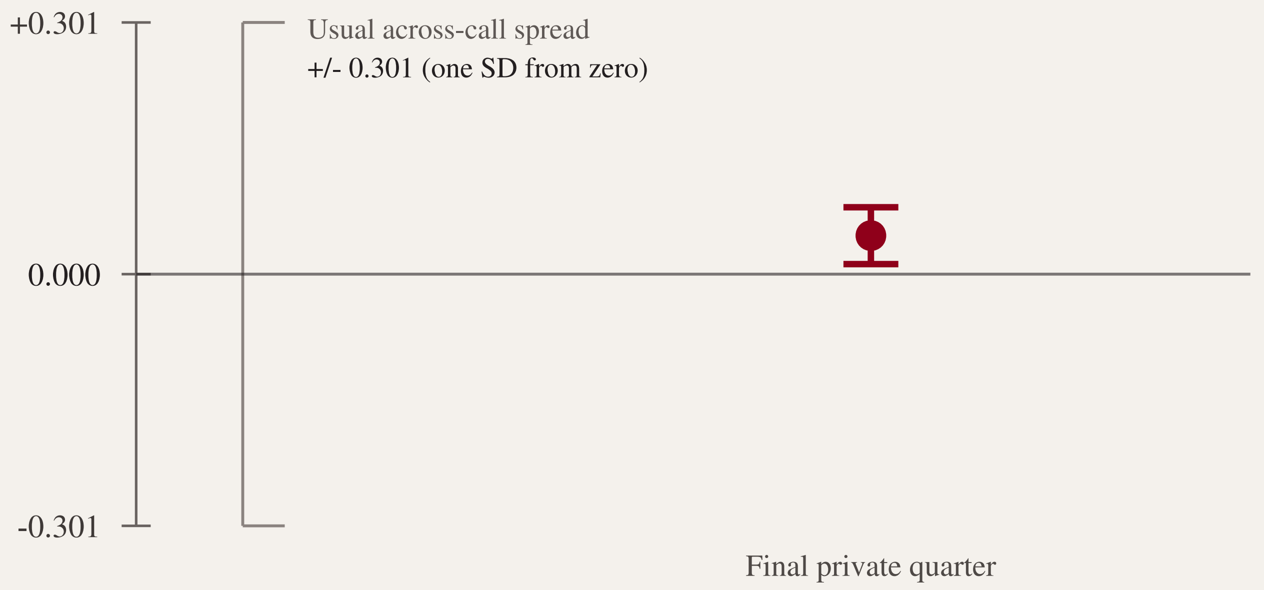
Thesis source: Table 1 and Dzielinski et al. replication table.

FINDING 1

Pre-announcement Run-up

Before a cash acquisition is announced, the same firm's CEO shows a **small but clear rise** in residual Q&A uncertainty.

Estimated change in residual CEO uncertainty



The model compares each firm's final private quarter with its ordinary quarters.

ESTIMATED WITHIN-FIRM SHIFT

ESTIMATE	SE	TWO-TAILED P
+0.0461	**0.0172**	**0.0074**

Approx. 95% CI [0.012, 0.080]

About 15% of the usual spread

A modest but statistically clear increase.

0.0461 / 0.3010 = 15.3%

SAMPLE
27,622 firm-quarters
1,248 firms

CONTROLS AND FIXED EFFECTS
Leverage, ln(assets), Tobin's Q, ROA, capex, dividend indicator, cash-flow volatility; firm and calendar year-quarter fixed effects

INFERENCE
Standard errors clustered by firm

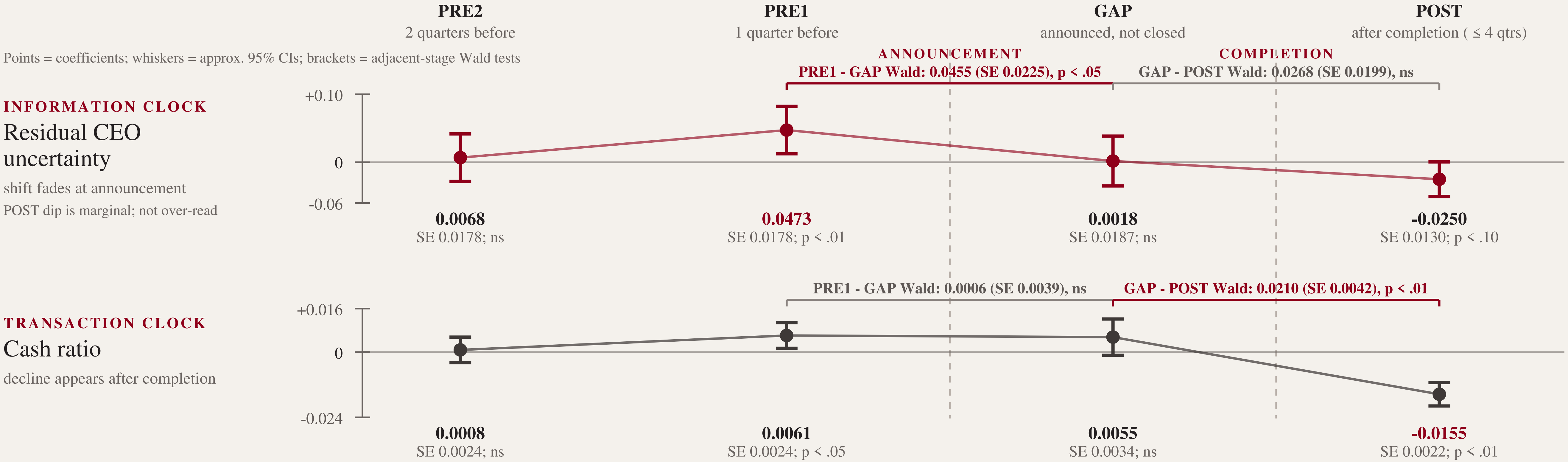
Thesis source: Main Analysis 1 and its table notes. Approximate 95% CI derived from the reported estimate and SE. Note: the estimate is descriptive, not causal.

FINDING 2

Announcement vs. Completion

Two clocks: residual uncertainty becomes indistinguishable from baseline **at announcement**; cash falls only **at completion**.

Omitted baseline: e ≤ -3 (three or more quarters before announcement) plus never-acquirers. Both outcomes use the same matched firm-quarters.



MATCHED SAMPLE

28,102 firm-quarters
1,320 firms; identical rows

CONTROLS AND FIXED EFFECTS

Leverage, ln(assets), Tobin's Q, ROA, capex, dividend indicator, cash-flow volatility; firm and calendar year-quarter FE. Cash adds its own lag: 0.7547 (SE 0.0108), p < .01.

INFERENCE

Firm-clustered SEs; two-tailed tests

Thesis source: Main Analysis 2; Table “Uncertainty and Cash Around the Announcement (Matched Sample).” Approximate 95% CIs derived from reported SEs. Note: GAP cash is not significant; the closing decline is partly mechanical; the evidence is descriptive, not causal.

FINDING 3

Cash vs. Stock

Cash deals show the pre-announcement run-up; a **direct pooled test** supports a larger effect than stock.
The evidence supports **concentration in cash**, not proof of a cash-only effect.

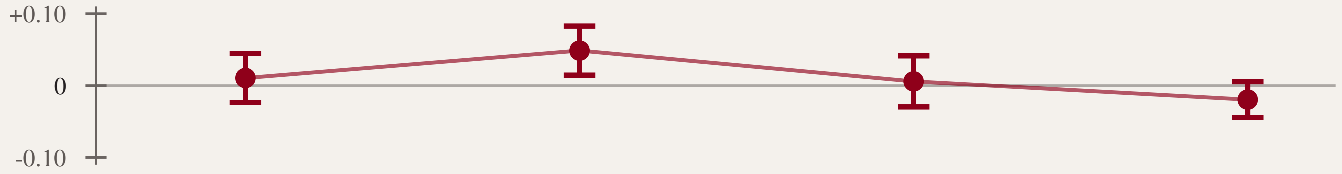
1 DESCRIPTIVE SIDE-BY-SIDE

Separate complete-case panels; baseline is e ≤ -3 plus never-acquirers. Descriptive only.

Points = coefficients; whiskers = approx. 95% CIs

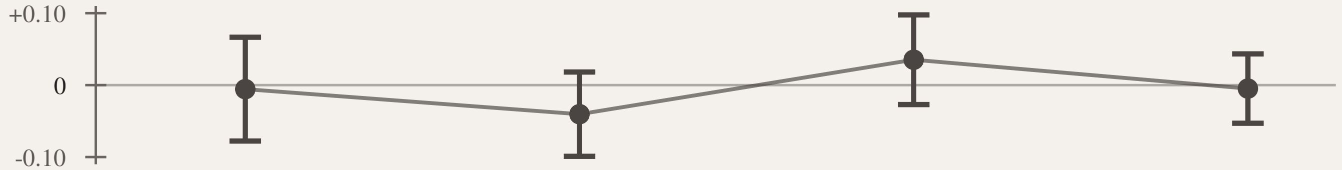
	PRE2 2 qtrs before	PRE1 1 qtr before	GAP announced	POST completed

CASH ACQUIRERS
29,535 firm-quarters
1,326 firms



	PRE2	PRE1	GAP	POST
Cash acquirers	**0.0105** SE 0.0174; ns	**0.0486** SE 0.0174; p < .01	**0.0058** SE 0.0181; ns	**-0.0195** SE 0.0127; ns

STOCK ACQUIRERS
39,819 firm-quarters
1,363 firms

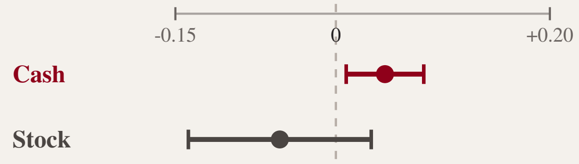


	PRE2	PRE1	GAP	POST
Stock acquirers	**-0.0056** SE 0.0368; ns	**-0.0404** SE 0.0299; ns	**0.0353** SE 0.0318; ns	**-0.0048** SE 0.0246; ns

Stock PRE1 is imprecise; it is not read as a decline.

2 FORMAL POOLED TEST

Cash and stock indicators enter the same regression.



0.0459
SE 0.0185; p < .05

-0.0524
SE 0.0436; ns

DIRECT WALD DIFFERENCE

Cash – Stock

ESTIMATE	SE	TWO-TAILED P
+0.0983	**0.0476**	**.039**

Approx. 95% CI [0.005, 0.192]

Concentrated in cash

The direct Wald difference, not two separate significance results, is the test.
Supported, but fragile: stock is imprecisely negative. The thesis therefore says concentrated, not strictly cash-specific.

POOLED SAMPLE
25,600 firm-quarters
1,191 firms

SAMPLE AND BASELINE
Pre-deal quarters before the first ≥ 50% cash or stock acquisition, plus firms making neither. Neither-deal firms are the baseline.

CONTROLS AND FIXED EFFECTS
Leverage, ln(assets), Tobin's Q, ROA, capex, dividend indicator, cash-flow volatility; firm and calendar year-quarter fixed effects.

INFERENCE
Firm-clustered SEs; two-tailed tests.

Thesis source: Main Analysis 3; Tables “Event Study by Payment Type: Cash versus Stock Acquirers” and “Cash-Specificity Test: Cash versus Stock Acquirers.” Approximate 95% CIs derived from reported SEs. Note: the comparisons are within-firm, descriptive, and not causal.

WHAT THIS THESIS ADDS

Contributions

Three descriptive additions: an anticipatory window, a formal contrast, and a bridge between literatures.

01 THE ANTICIPATORY WINDOW

Before the deal is public

Reads residual CEO Q&A uncertainty in the anticipatory window before an acquisition becomes public.

Positions uncertainty language where prior work had read managed tone, strategy vocabulary, or prices.

02 A FORMAL CONTRAST

Cash against stock

Documents that the language pattern concentrates in cash acquisitions rather than stock acquisitions.

Tests the contrast directly in a pooled model, rather than comparing separate significance results.

03 A LITERATURE BRIDGE

Private to public

Reads unscripted Q&A as tracking a deal's passage from private to public.

Connects research on withholding private information with evidence that markets anticipate corporate transactions.

Contribution note: the thesis characterizes a descriptive regularity; it does not identify a causal channel.

Thesis source: Introduction, contribution paragraph; Conclusion.

EVIDENCE BOUNDARY

What the Evidence Does and Does Not Show

The evidence identifies a **language pattern**, not its cause.

WHAT IT SHOWS

A readable pattern

CEO Q&A uncertainty tracks the point when an acquisition moves from private to public.

A within-firm regularity around disclosure, no more and no less.

WHAT IT DOES NOT SHOW, AND WHERE IT MAY NOT CARRY

01	Cause and effect	The design is **descriptive, not causal**. It characterizes a within-firm regularity.
02	Generalizability	The sample skews toward **larger, more heavily covered U.S. public firms** (approximately the S&P 1500, 2002-2018), limiting generalizability.
03	The anticipatory window	The data mark the **announcement date**, not when negotiations began.
04	Imperfect instruments	The finance-specific word count abstracts from context, and stock deals, though they share the disclosure setting, remain an **imperfect comparison** for cash deals.

Thesis source: Conclusion, limitations and evidence-boundary paragraphs; event-study design, Section 2.4.

CLOSING MESSAGE

Conclusion

These patterns suggest that unscripted CEO Q&A carries a **readable, anticipatory trace** of a deal's passage from private to public.

THE DISCLOSURE CLOCK

PRIVATE

PUBLIC

BEFORE ANNOUNCEMENT

Residual uncertainty rises.

AT ANNOUNCEMENT

The uncertainty signal fades.

ACROSS PAYMENT METHODS

Stronger in cash

The pre-announcement run-up is stronger in cash deals than in stock deals.

Thank you for your attention.

I welcome your questions and comments.